

DRONES MANUFACTURE IN INDIA: Does PLI Make It Attractive Enough?

The government of India has introduced a production linked incentive (PLI) for manufacturing drones and their components in the country. Should startups, SMEs, MSMEs, and bigger organisations invest in the sector that is still at a nascent stage? What is the future of drones, and what are the business challenges and opportunities offered by the sector? Let us have a look

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“After the introduction of the new drone policy on August 25, many foreign and domestic investors have invested in drone startups. Many companies are setting up manufacturing units. Army, navy, and air force have given orders worth much more than ₹500 crore (five billion rupees) to Indian drone companies. This is just the beginning, and we don’t have to stop here,” says India’s Prime Minister Modi in his address to the nation via his monthly radio programme *Mann Ki Baat*.

In one of the episodes, he adds, “Drones are a topic which is dominating the imagination of our country, especially the youth, and India is the first country in the world that is preparing digital land records in its villages with the help of drones.”

As such, this probably might be the first time in history where the government has taken a proactive approach towards a sector that is considered to be still in its nascent stage. Of course, the Civil Aviation Ministry has estimated India’s drone sector to achieve a total turnover of ₹120 to 150 billion (US\$1.63 to 2.04 billion) by 2026, from its current turnover of about ₹800 million (US\$10.88 million). However, the opportunities and challenges are not just for India, the whole world is experiencing them!

The global market for drones is estimated to reach US\$28.47 billion in FY 21-22, and the Bureau of Indian Standards (BIS) research suggests that India will account for roughly 4.25% of this market, even though countries like China, Israel, and the US are currently dominating the market.

Notable in case of India is the government’s PLI scheme for promoting manufacture of drones in the country. Offering incentives worth ₹1.2 billion (US\$16.06 million), the policy covers almost every critical component required in a drone and envisages to build an ecosystem that fosters drone manufacturing. The opportunities present are not just for big established organisations, but also for startups.

